

RECLTD

20.4%
ROE

9.3%
ROCE

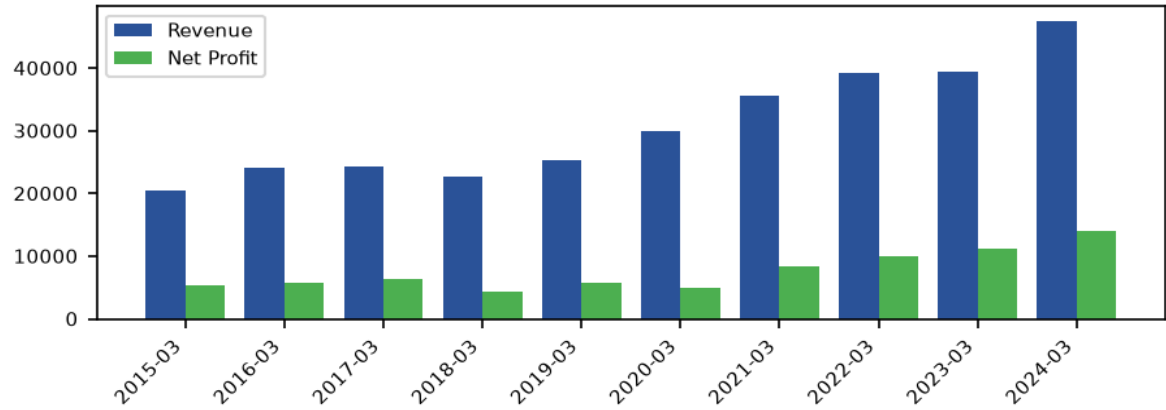
6.4x
D/E

13.3%
Revenue CAGR (5yr)

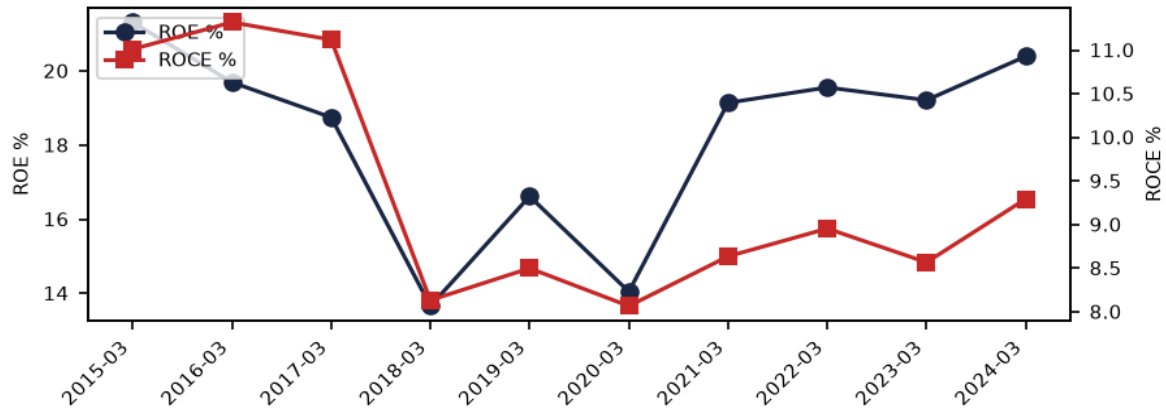
100.8%
OPM

29.8%
Net Profit Margin

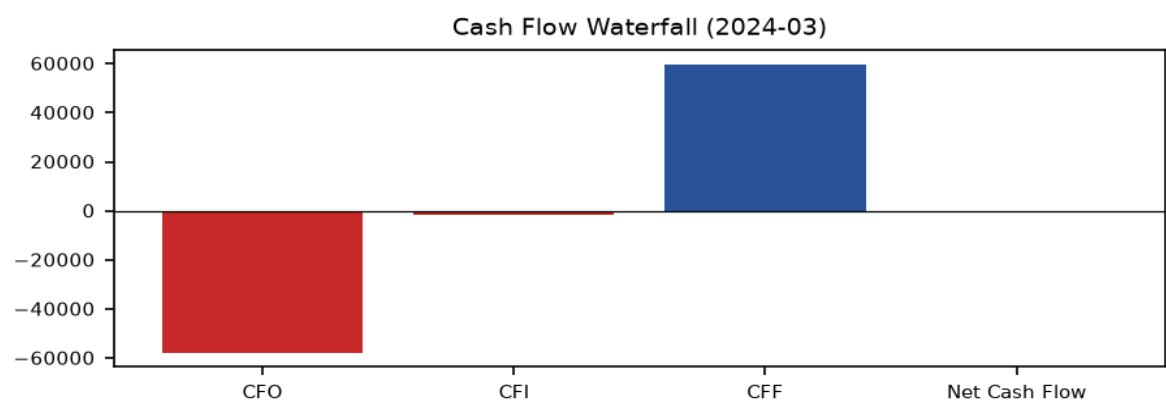
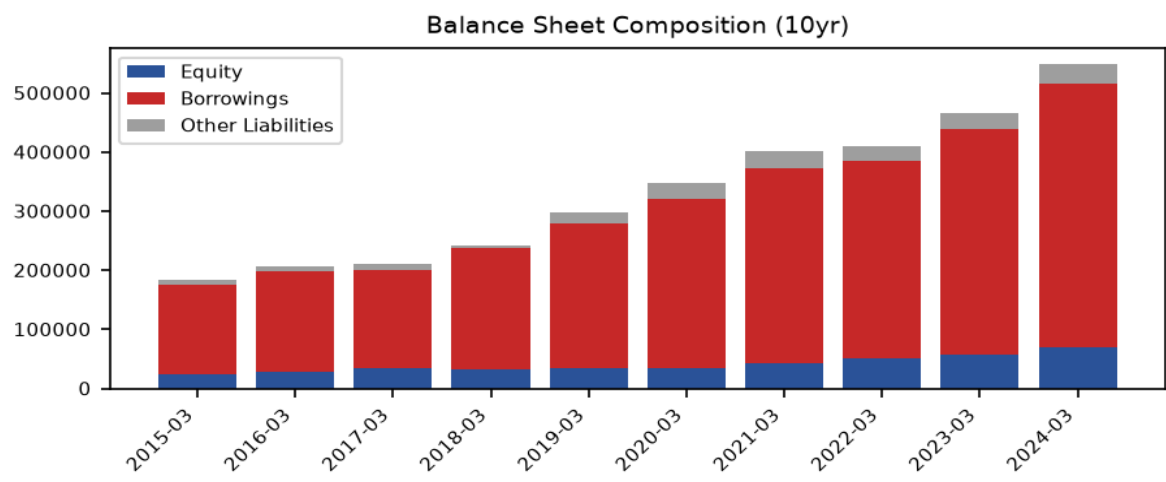
Revenue vs Net Profit (10yr)



ROE vs ROCE (10yr)



RECLTD



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Growth Funded by Debt